Cosmecca Korea (241710 KS)

Lower 3Q expectations, growth outlook intact

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BUY (M)

Target price	W150,000 (Up)
Previous target price	W120,000
Current price (Sep 23)	W127,300
Upside potential	18%

Market cap (Wbn)	1,360
Shares outstanding	10,680,000
Avg daily T/O (2M, Wbn)	16
Avg daily volume (2M, shrs)	140,562
52-week high/low (won)	153,900 / 61,500
Foreign ownership (%)	24.30%
Dividend yield (%)	0.56%
Major shareholders	Eun-hui Park & others

Stock performance

(%)	1M	3M	12M
Absolute	(7.3)	95.2	83.2
Relative	(12.0)	106.1	89.2
Abs (US$)	(5.4)	121.2	87.8

3Q26 preview: OP likely to miss consensus

We estimate 3Q26 sales at W214.3bn (+18% YoY) and OP at W30.2bn (+11% YoY, OPM 14%). OP is likely to fall short of the W33.1bn market consensus.

1) Korean operations: We forecast sales at W175.0bn (+35% YoY) and OP at W23.3bn (OPM 13.3%). Orders from major customers remain firm, but supply disruptions involving packaging materials, including containers and pouches, could delay some production and deliveries until 4Q26.

2) US operations (Englewood Lab): We forecast sales at W50.3bn (-19% YoY) and OP at W8.4bn (OPM 16.7%). A large order from a major Englewood Lab Korea customer is expected to be deferred to 2027. Production of new products under discussion at both Englewood Lab's US entity and Englewood Lab Korea is also expected to begin in 2027.

3) Chinese operations: We forecast sales at W8.0bn (-2% YoY) and OP at -W1.6bn (widening YoY). The company is working to expand its local brand customer base, but the pace of sales recovery remains slow.

Maintain BUY; revise up target price to W150,000

We maintain BUY and revise up out target price to W150,000. In 3Q26, OP is likely to miss market consensus and some Korean orders appear set to be deferred to 4Q26 because of container supply disruptions, while production of Englewood Lab's new products is likely to start in 2027. We thus focus on when these orders will be recognized into sales rather than the 3Q26 earnings miss.

Our target price was derived by applying a target P/E of 18x to 12-month-forward EPS. The multiple is equivalent to the average 12-month-forward P/E from May to September 2024, when products manufactured by the company reached top rankings on Amazon and record quarterly earnings lifted growth expectations.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	524	641	839	1,000
OP	60	84	112	138
Net profit, CI	43	45	77	95
P/E (x)	14.6	13.7	17.7	14.3
P/B (x)	2.9	2.5	4.2	3.3
EV/EBITDA (x)	9.9	7.9	11.9	9.8
ROE (%)	22.1	19.3	26.8	26.1

Note: CI = controlling interest; Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Cosmecca Korea: earnings trend and forecasts (Wbn, %)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Sales	**1,184**	**1,617**	**1,824**	**1,785**	**6,409**	**1,851**	**2,261**	**2,143**	**2,132**	**8,387**
Korea ops	743	1,100	1,298	1,273	4,414	1,422	1,788	1,750	1,700	6,660
US ops	425	575	618	545	2,163	497	519	503	502	2,022
Englewood Lab US	273	316	304	302	1,195	307	317	310	320	1,254
Englewood Lab Korea	163	267	317	246	993	196	210	200	190	796
Chinese operations	88	86	81	85	340	64	77	80	90	311
Consolidation adjustments	-73	-143	-174	-119	-509	-132	-124	-190	-160	-606
Revenue growth (% YoY)	***-6***	***12***	***44***	***39***	***22***	***56***	***40***	***18***	***19***	***31***
Korea ops	*8*	*16*	*57*	*54*	*34*	*91*	*63*	*35*	*34*	*51*
US ops	*-19*	*25*	*50*	*29*	*19*	*17*	*-10*	*-19*	*-8*	*-7*
Englewood Lab US	*-19*	*11*	*16*	*25*	*6*	*12*	*0*	*2*	*6*	*5*
Englewood Lab Korea	*-13*	*49*	*101*	*35*	*40*	*20*	*-21*	*-37*	*-23*	*-20*
OP	**123**	**230**	**272**	**210**	**835**	**219**	**321**	**302**	**283**	**1,124**
Growth (% YoY)	*-10*	*27*	*79*	*58*	*38*	*78*	*39*	*11*	*35*	*35*
Korea ops	80	138	145	140	504	178	245	233	210	865
US ops	46	101	132	90	367	56	87	84	81	308
Englewood Lab US	3	21	30	20	74	18	37	34	33	123
Englewood Lab Korea	43	82	97	70	293	40	52	50	48	191
Chinese operations	-6	-11	-6	2	-21	-13	-12	-16	-9	-50
OPM	***10***	***14***	***15***	***12***	***13***	***12***	***14***	***14***	***13***	***13***
Korea ops	*9*	*13*	*11*	*11*	*11*	*12*	*14*	*13*	*12*	*13*
US ops	*11*	*18*	*21*	*17*	*17*	*11*	*17*	*17*	*16*	*15*
Englewood Lab US	*1*	*7*	*10*	*7*	*6*	*6*	*12*	*11*	*10*	*10*
Englewood Lab Korea	*26*	*31*	*31*	*28*	*29*	*21*	*25*	*25*	*25*	*24*

Source: company data; Yuanta Securities

Cosmecca Korea: target price calculation

	2026E	2027E	Note
Net profit, CI (Wbn)	76.9	95.0	
Shares issued ('000)	10,680	10,680	Common shares issued as of year-end
EPS (won)	7,205	8,896	12-month-forward EPS
Fair P/E (x)	18	18	
Fair value per share (won)	129,681	160,120	W150,000
Upside (%)	1.9	25.8	18%

Note: CI = controlling interest; Source: Yuanta Securities

Cosmecca Korea: earnings estimate revision (Wbn, %, %p)

	Old			New			Difference		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Sales	208.0	799.5	940.0	214.3	838.7	1,000.0	*+3.0%*	*+4.9%*	*+6.4%*
OP	31.6	106.0	129.0	30.2	112.4	138.0	*+10.6%*	*+6.0%*	*+7.0%*
OPM	15.1	*13.3%*	*13.7%*	*14.1%*	*13.4%*	*13.8%*	*+1.0%p*	*+0.1%p*	*+0.1%p*

Source: Yuanta Securities

Cosmecca Korea (241710 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**524**	**641**	**839**	**1,000**	**1,120**
Cost of sales	400	483	646	767	857
Gross profit	125	158	193	233	263
SG&A	64	75	80	95	104
Operating profit	**60**	**84**	**112**	**138**	**159**
EBITDA	78	100	129	155	176
Non-operating profit	7	-6	3	2	1
Forex gains	9	0	1	2	2
Net interest income	-2	-3	-3	-3	-2
Equity-method gains	0	0	0	0	0
Other	0	-3	5	3	2
Net prof before income tax	68	78	115	140	160
Income tax	14	20	30	35	40
Net profit from continuing ops	54	58	85	105	120
Net profit from discontinued ops	0	0	0	0	0
Net profit	54	58	85	105	120
NP for controlling interest	**43**	**45**	**77**	**95**	**108**
Total comprehensive income	67	53	80	100	115
Total comprehensive income, CI	49	42	63	79	90

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**255**	**331**	**401**	**466**	**520**
Cash & cash equivalents	54	69	59	59	65
Accounts receivables & other	117	161	211	251	282
Inventory	67	79	103	123	138
Non-current assets	262	300	312	322	351
Tangible assets	196	240	252	263	293
Investment in affiliates	1	1	1	1	1
Other investment assets	2	2	2	2	2
Total assets	**518**	**632**	**713**	**788**	**871**
Current liabilities	171	249	255	234	208
Accounts payable & other	56	88	105	100	96
ST financial liabilities	78	132	122	107	87
Liquid LT liabilities	10	4	4	4	4
Non-current liabilities	40	47	46	45	43
LT financial liabilities	26	30	27	24	19
Debentures	0	0	0	0	0
Total liabilities	**210**	**296**	**301**	**279**	**251**
Equity, controlling interest	218	253	321	407	506
Paid-in capital	5	5	5	5	5
Capital surplus	69	63	63	63	63
Retained earnings	132	174	247	338	442
Equity, non-controlling interest	89	84	92	102	114
Total equity	**308**	**336**	**412**	**509**	**620**
Net debt	**58**	**88**	**80**	**60**	**27**
Total debt	122	172	158	140	115

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**69**	**55**	**49**	**61**	**92**
Net profit	54	58	85	105	120
Depreciation & amortization	14	15	15	15	15
Forex gains	-6	0	-1	-2	-2
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-3	-29	-59	-66	-50
Other	9	10	8	8	8
Investing cash flow	**-53**	**-64**	**-29**	**-28**	**-45**
Investment	-3	-2	0	0	0
Increase in tangible assets	-49	-61	-30	-30	-50
Decrease in tangible assets	0	0	3	3	5
Other	-1	0	-1	0	0
Financing cash flow	**2**	**24**	**-35**	**-40**	**-46**
ST financial liabilities	22	53	-9	-14	-20
Debenture/LT financial liabilities	-8	-3	-4	-4	-5
Equity	11	-6	0	0	0
Cash dividend	-1	-2	-4	-4	-4
Other cash flow	-21	-17	-17	-17	-17
Consolidation adj and other	2	0	6	6	5
Increase in cash & equivalents	**21**	**15**	**-10**	**-1**	**6**
Beginning cash & equivalents	33	54	69	59	59
Ending cash & equivalents	54	69	59	59	65
NOPLAT	60	84	**112**	**138**	**159**
FCF	**21**	**-6**	**19**	**31**	**42**

Valuation

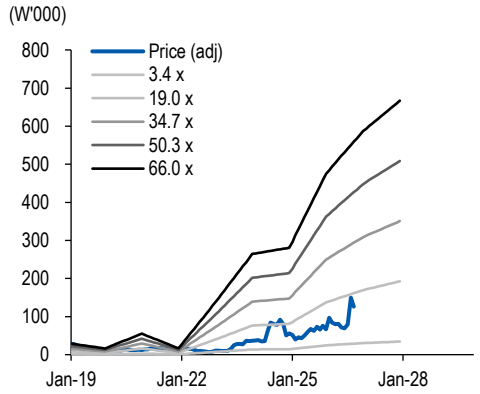
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	4,007	4,255	7,205	8,896	10,112
BPS (won)	20,450	23,663	30,042	38,112	47,398
EBITDA/shr (won)	7,318	9,368	12,072	14,467	16,434
SPS (won)	49,094	60,012	78,530	93,633	104,869
DPS (won)	100	370	370	370	370
P/E (x)	**14.6**	**13.7**	**17.7**	**14.3**	**12.6**
P/B (x)	**2.9**	**2.5**	**4.2**	**3.3**	**2.7**
EV/EBITDA (x)	**9.9**	**7.9**	**11.9**	**9.8**	**8.5**
P/S (x)	**1.2**	**1.0**	**1.6**	**1.4**	**1.2**

Key financial data

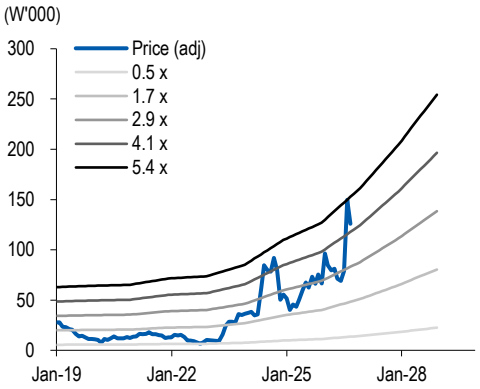
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**11.4**	**22.2**	**30.9**	**19.2**	**12.0**
Operating profit (%YoY)	**22.8**	**38.4**	**34.6**	**22.8**	**15.2**
Net profit, CI (%YoY)	**91.8**	**6.2**	**69.3**	**23.5**	**13.7**
Gross margin (%)	23.7	24.7	23.0	23.3	23.5
Operating margin (%)	**11.5**	**13.0**	**13.4**	**13.8**	**14.2**
Net margin, CI (%)	8.2	7.1	9.2	9.5	9.6
EBITDA margin (%)	14.9	15.6	15.4	15.5	15.7
ROIC (%)	14.9	16.4	19.4	20.4	20.2
ROA (%)	9.0	7.9	11.4	12.7	13.0
ROE (%)	**22.1**	**19.3**	**26.8**	**26.1**	**23.7**
Debt-to-equity (%)	68.4	87.9	72.9	54.9	40.5
Net debt-to-equity (%)	26.5	34.8	25.1	14.7	5.3
OP/financing cost (x)	18.9	23.6	28.3	38.5	51.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

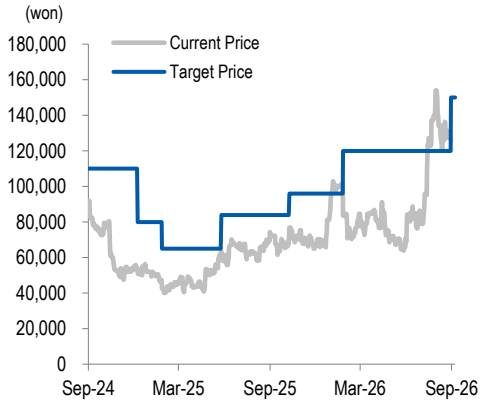
P/E band chart



P/B band chart



Cosmecca Korea (241710 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/29	BUY	150,000	1 yr		
2026/09/28	BUY	150,000	1 yr		
2026/02/23	BUY	120,000	1 yr	-25.26	28.25
2025/11/07	BUY	96,000	1 yr	-20.19	7.29
2025/06/23	BUY	84,000	1 yr	-22.49	-11.43
2025/02/24	BUY	65,000	1 yr	-27.72	-4.92
2025/01/06	BUY	80,000	1 yr	-36.13	-29.63
2024/08/30	BUY	110,000	1 yr	-37.06	-12.82

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Sep 29, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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